

Playbook: Indemnification

SECTION 4: INDEMNIFICATION PLAYBOOK

4.1 Preferred Northwind Position (Model Clause Language)

> 4.1(a) Customer Indemnification of Northwind. Customer shall defend, indemnify, and hold harmless Northwind, its officers, directors, employees, and agents from and against any third-party claims, demands, suits, or proceedings, and all resulting losses, damages, liabilities, costs, and expenses (including reasonable outside attorneys' fees) arising out of or relating to: (i) Customer Data, including any processing thereof by Northwind in accordance with this Agreement; (ii) Customer's violation of Section 3 (Acceptable Use); or (iii) unauthorized use of the Services by Customer or its End Users.

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> 4.1(b) Northwind Indemnification of Customer. Northwind shall defend Customer against any third-party claim alleging that the Services, when used in accordance with this Agreement, infringe any patent, copyright, or trademark, or misappropriate any trade secret of a third party, and shall pay all damages finally awarded against Customer by a court of competent jurisdiction, or agreed to in a settlement approved in writing by Northwind, arising from such claim.

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> 4.1(c) Exclusions. Northwind shall have no liability or obligation under Section 4.1(b) to the extent any claim arises from: (i) combination of the Services with software, hardware, data, or processes not provided by Northwind; (ii) use of the Services after Northwind has notified Customer to discontinue use due to an infringement claim; (iii) modifications to the Services made by any party other than Northwind; or (iv) Customer Data.

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> 4.1(d) Conditions and Procedures. Each party's indemnification obligations are conditioned upon the indemnified party: (i) providing written notice of the claim to the indemnifying party within 14 calendar days of becoming aware of the claim; (ii) granting the indemnifying party sole control of the defense and settlement of the claim (provided that the indemnifying party shall not settle any claim that requires an admission of liability or financial contribution by the indemnified party without its prior written consent); and (iii) providing reasonable cooperation, at the indemnifying party's expense, in the defense and settlement of the claim. Failure to give prompt notice shall not relieve the indemnifying party of its obligations except to the extent materially prejudiced thereby.

4.2 Fallback Position

If Customer rejects the mutual standard or demands a reciprocal IP indemnity without exclusions, the attorney may agree to the following fallback provisions:

1. Reciprocal IP Indemnity: Accept mutual IP indemnification, provided that Northwind's obligation remains strictly limited to infringement of jurisdictions within the United States, United Kingdom, and European Union.
2. Cap on Indemnity: Northwind's total aggregate liability under Section 4.1(b) shall be capped at 1.5 times (1.5x) the total fees paid by Customer to Northwind in the 12 months preceding the event giving rise to the claim.
3. Cure Period: Northwind reserves a 30-calendar-day cure period to modify the Services to render them non-infringing, procure a license, or terminate the affected Service and refund a pro-rata portion of prepaid, unused fees.
4. Monetary Floor: Northwind shall not be required to defend or indemnify any claim where the total potential loss, damages, or settlement costs are reasonably projected to be less than \$25,000 USD (the "Indemnity Floor"). Claims below this threshold shall be handled as operational expenses by the affected party.

4.3 Walk-Away Position

Legal counsel and sales representatives must immediately cease negotiations and escalate or walk away if the counterparty insists on any of the following terms:

1. Uncapped Indemnity: Any demand for unlimited indemnification for third-party IP claims, data breaches, or confidentiality violations.
2. Direct Damages Indemnification for Breach of Contract: Any attempt to convert standard breach of contract damages into an indemnification obligation.
3. Indemnification for Regulatory Fines: Any obligation for Northwind to indemnify Customer for regulatory penalties, GDPR fines, or compliance enforcement actions arising from Customer's deployment configuration.
4. Pre-Approval of Settlements: Requirements that Northwind fund settlements without retaining sole discretion over defense strategy and settlement terms.

4.4 Numeric and Categorical Thresholds

| Threshold Type | Parameter | Value / Metric | Enforcement Rule |

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| Liability Cap (Multiple) | IP Indemnity Cap | 1.5x to 2.0x trailing 12-month fees | Hard ceiling; cannot exceed 2.0x without CFO approval. |

| Notice Period | Claim Notification | 14 calendar days | If notice exceeds 30 days and prejudices defense, obligation is voided. |

| Cure Period | Infringement Remediation | 30 calendar days | Must run concurrently with defense obligations. |

| Monetary Floor | De Minimis Claims | \$25,000 USD | Below this figure, claims are excluded from formal indemnity process. |

4.5 Named Deviations Requiring Escalation

The following specific deviations from this playbook are strictly prohibited without written sign-off from the designated corporate officer:

1. Data Breach / Security Indemnity Expansion: Any agreement to indemnify Customer for third-party claims arising from a cybersecurity incident or data breach exceeding the standard data processing addendum limits requires written approval from Marcus Vance, Chief Information Security Officer (CISO).
2. Multi-Year Fee Multipliers: Any indemnification cap calculated using forward-looking annualized contract value (ACV) rather than historical trailing fees paid requires written approval from Sarah Lin, Chief Financial Officer (CFO).
3. Non-Standard Jurisdiction Defenses: Extending Northwind's IP indemnification obligations to cover jurisdictions outside the US, UK, and EU (e.g., APAC or LATAM patent pools) requires written approval from Elena Rostova, General Counsel.

4.6 Worked Examples of Counterparty Language

Acceptable Counterparty Language (Approved for Use)

* Example 1 (Fallback IP Cap Modification):

> **"Notwithstanding anything to the contrary herein, Northwind's aggregate liability under Section 4.1(b) shall be limited to two times (2x) the total fees paid by Customer in the preceding twelve (12) month period, and Northwind shall have thirty (30) days to cure any claimed infringement upon receipt of written notice delivered pursuant to Section 12."**

* Rationale: Aligns with fallback parameters (2x cap, 30-day cure) and maintains notice mechanics.

* Example 2 (Mutual Cooperation Standard):

> **"Each party's indemnification obligations are conditioned upon the indemnified party providing written notice of any claim within twenty-one (21) days of receipt, provided that failure to give timely notice shall relieve the indemnifying party only to the extent it is materially prejudiced thereby."**

* Rationale: Minor variance on the notice period (21 days vs. 14 days) with standard material prejudice protection. Acceptable without escalation.

Unacceptable Counterparty Language (Rejected / Walk-Away)

* Example 1 (Uncapped Regulatory Indemnity):

> **"Supplier shall defend, indemnify, and hold harmless Customer from any and all regulatory fines, supervisory penalties, and third-party enforcement costs arising from any failure of the SaaS platform to comply with local data protection laws."**

* Rationale: Violates walk-away rule prohibiting indemnification for regulatory fines and data compliance penalties.

* Example 2 (Direct Breach as Indemnity):

> **"Any breach of Northwind's service level commitments under Exhibit B shall be deemed an indemnifiable claim, and Northwind shall indemnify Customer for all resulting lost profits and consequential business interruptions without regard to any limitation of liability caps."**

* Rationale: Converts standard contractual SLA remedies into indemnifiable claims and breaches the liability cap prohibition.